

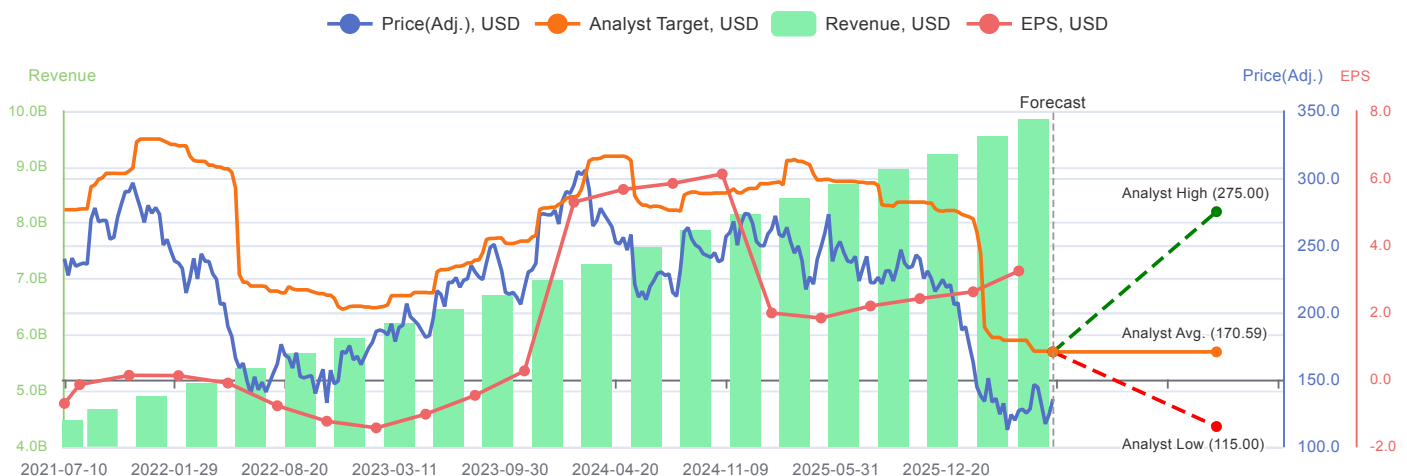
Key Indicators:

🕒 Date: Jul 9, 2026

Stock Price **\$137.9**

52-Week Range	\$110.4 - \$249.8	EPS Revisions (90d)	↑ 21 ↓ 12	Revenue	\$9.9B
Market Cap	\$34.1B	PEG Ratio	0.54	Revenue Forecast	\$10.7B
P/E Ratio	40.2	FCF Yield	8.73	1-Year Change	-42.6%
P/E (Fwd.)	13.1	EV / EBITDA	22.2	Div Yield	0%
EPS Actual	9.23	Book / Share	26.0	Div. Growth Streak	-
EPS Estimate	11.0	Beta (5Y)	1.10	Next Earnings	2026-08-20

5-Year Chart



Executive Summary

Warren AI

Workday Inc. (NASDAQ: WDAY) is a leading provider of enterprise cloud applications for human capital management (HCM) and financial management, serving over 11,500 organizations globally, including more than 65% of Fortune 500 companies.

Workday delivered a strong Q1 FY2027, reporting EPS of \$2.66 (beating the \$2.52 forecast) and revenue of \$2.54 billion (vs. \$2.52 billion expected), representing 13% year-over-year total revenue growth. **Subscription revenue grew 14% to \$2.354 billion**, while new ACV from AI products surged over 200% year-over-year — the best Q1 new ACV growth in five years. Despite these beats, the stock fell 3.55% in after-hours trading, reflecting broader investor caution. The company reiterated its full-year FY2027 subscription revenue outlook of \$9.925–\$9.950 billion (12–13% growth) and raised its non-GAAP operating margin guidance to 30.5%.

On the **AI front**, Workday is approaching \$500 million in ARR from agentic AI solutions, with over 4,000 customers using at least one organically developed agent. The company launched *Agent Passport* (an AI security testing platform with Cisco) and announced integration with AWS Data Cloud, which drove a 26.8% stock surge in early June '26. New products including Sana Travel Agent and Sana for ITSM signal Workday's ambition to expand beyond its core HR and finance verticals.

Key risks include a federal class-action lawsuit alleging AI bias in its HR screening tools, intensifying competition from Oracle, SAP, and Microsoft, and moderating growth as Fortune 500 penetration matures. The stock trades at a significant discount to its InvestingPro Fair Value of \$214.58, with a forward P/E of ~13x for FY2027 and a PEG ratio of 0.54, suggesting **attractive valuation relative to growth**. Analysts maintain a consensus buy rating with a median price target of \$170.59, while 21 analysts revised EPS estimates upward over the past 90 days. Operating cash flow rose 52% year-over-year to \$696 million, and the company repurchased \$1.6 billion in shares during Q1, underscoring management's confidence in long-term value.

Fair Value

Upside	55.6%
Fair Value	\$214.6

Financial Health

7.0/10

Growth Rating

5.6/10

Profitability Rating

5.4/10

Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2024	2025	2026	2027	2028
Period Ending	31/01	31/01	31/01	31/01	31/01
Capitalization	\$76.6B	\$69.7B	\$46.2B	\$34.1B	\$34.1B
P/E Ratio	1,141	43.0	71.9	13.1	11.1
Div. Yield	0	0	0	0	-
Capitalization / Revenue	11.0	8.55	5.00	3.33	3.00
EV / Revenue	10.4	8.08	4.67	3.26	2.93
EV / EBITDA	231.7	89.7	35.7	9.63	8.24
EV / FCF	535.9	117.2	43.9	-	-
FCF Yield	2.08	3.03	5.60	-	-
Price / Book	11.6	8.08	5.20	5.10	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

👉

Management has been aggressively buying back shares

👉

High shareholder yield

👉

Net income is expected to grow this year

👉

21 analysts have revised their earnings upwards for the upcoming period

👉

Impressive gross profit margins

👉

Trading at a low P/E ratio relative to near-term earnings growth

👉

Valuation implies a strong free cash flow yield

👉

Prominent player in the Software industry

👉

Strong return over the last three months

👉

Analysts predict the company will be profitable this year

👉

Profitable over the last twelve months

👎

Trading at a high earnings multiple

👎

Trading at a high EBITDA valuation multiple

👎

Stock has taken a big hit over the last six months

👹

Operates with a moderate level of debt

👹

Does not pay a dividend to shareholders

Analyst Projections:

Analyst EPS Forecasts

Period Ending	Average	YoY Growth	Forward P/E	# of Analysts
2027	10.98	16.3%	13.1x	41
2028	12.95	17.8%	11.1x	41
2029	14.7	16.0%	9.8x	18

EPS Revisions Q2 2027



The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the upcoming quarter. Analysts have increased this quarter's expectations by 0.0% for EPS from \$1.65 per share to \$1.65 per share over the last 12 months.

EPS Revisions FY2027

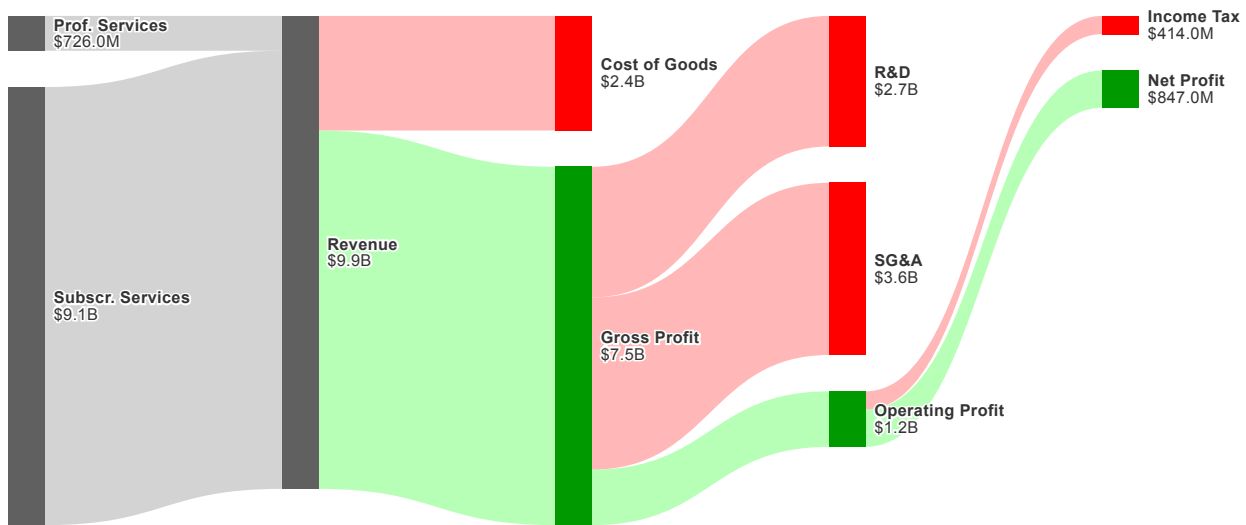


The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the FY2025. Analysts have increased this quarter's expectations by 0.0% for EPS from \$7.18 per share to \$7.18 per share over the last 12 months. The company is expected to report earnings for Q2, 2027, on August 20, 2026.

Latest Ratings

Date	Analyst	Rating	Target
Jun 25, 26	Monness, Crespi, Hardt	Buy	\$150
Jun 17, 26	Cantor Fitzgerald	Buy	\$160
Jun 11, 26	Oppenheimer	Buy	\$165
May 27, 26	JPMorgan	Buy	\$190
May 27, 26	Canaccord	Buy	\$275
May 27, 26	BofA Securities	Hold	\$140
May 26, 26	CapitalOne	Buy	\$146
May 26, 26	Freedom Broker	Buy	\$180
May 26, 26	DA Davidson	Hold	\$135
May 26, 26	Goldman Sachs	Hold	\$151
May 22, 26	DA Davidson	Hold	\$135
May 22, 26	TD Cowen	Hold	\$155
May 22, 26	UBS	Hold	\$140
May 22, 26	RBC Capital	Buy	\$180
May 22, 26	BMO Capital	Buy	\$182
May 22, 26	Piper Sandler	Hold	\$145
May 22, 26	Cantor Fitzgerald	Buy	\$160
May 22, 26	Needham	Buy	\$180
May 22, 26	Wells Fargo	Buy	\$185
May 22, 26	Oppenheimer	Buy	\$165
May 22, 26	KeyBanc	Buy	\$158
May 22, 26	Wolfe Research	Buy	\$160
May 22, 26	Bernstein SocGen Group	Buy	\$216
May 22, 26	Citi	Hold	\$139
May 22, 26	Citizens	Hold	N/A
May 20, 26	Cantor Fitzgerald	Buy	\$160
May 15, 26	Monness, Crespi, Hardt	Hold	N/A

Y LTM Financials:



* Revenue segments are based on data from 2025-07-31 to 2026-04-30

* Income Statement is based on LTM data from 2025-04-30 to 2026-04-30

Income Statement

Date	2023	2024	2025	2026	LTM
Revenue	6,216	7,259	8,446	9,552	9,854
Operating Income	-182.0	183.0	499.0	1,024	1,157
Net Income to Stockholders	-367.0	1,381	526.0	693.0	847.0
Shares Outstanding	257.0	263.0	266.0	263.0	247.0
Diluted EPS	-1.44	5.21	1.95	2.59	3.21
EBITDA	182.0	465.0	825.0	1,371	1,512

Balance Sheet

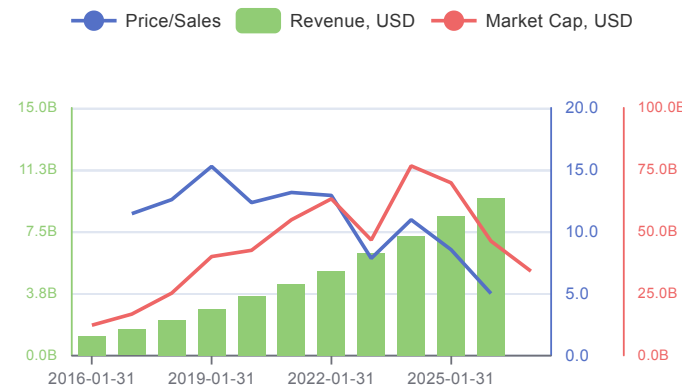
Date	2023	2024	2025	2026	LTM
Total Current Assets	8,108	9,939	10,545	8,429	6,592
Total Assets	13,486	16,452	17,977	18,074	16,091
Total Current Liabilities	4,628	5,055	5,548	6,378	6,535
Total Liabilities	7,901	8,370	8,943	10,269	9,408
Total Equity	5,585	8,082	9,034	7,805	6,683
Total Debt	3,249	3,296	3,362	3,821	3,805

Cash Flow Statement

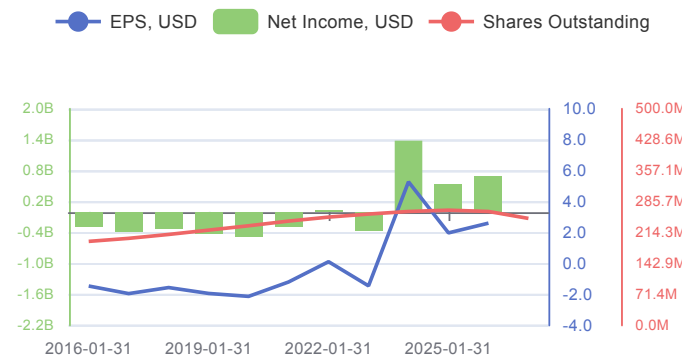
Date	2023	2024	2025	2026	LTM
Cash from Operations	1,657	2,149	2,461	2,939	3,178
Cash from Investing	-2,506	-1,751	-1,781	333.0	953.0
Cash from Financing	1,204	-268.0	-1,150	-3,319	-4,551
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

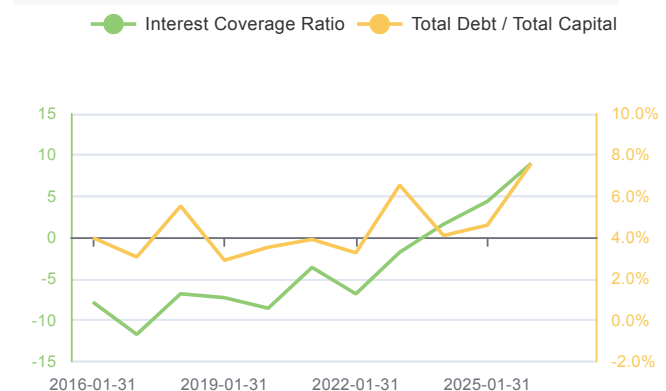
Revenue, Market Cap, Price/sales



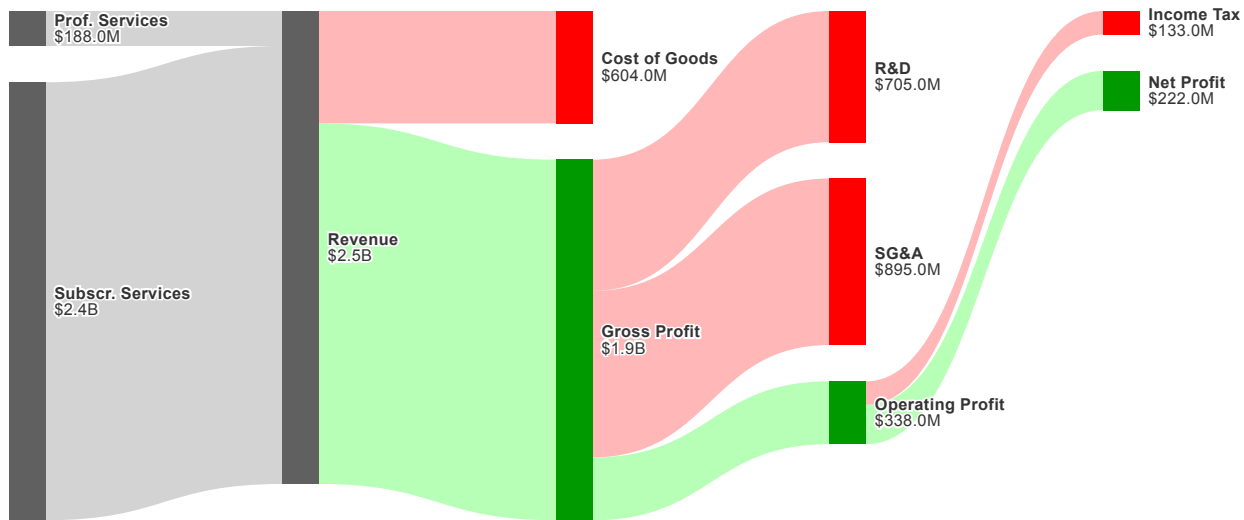
Net Income, EPS, Shares



Leverage and Debt



Q1 Financials



* Revenue segments are based on data from 2026-04-30

* Income Statement is based on LTM data from 2026-04-30

Income Statement

Date	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Revenue	2,240	2,348	2,432	2,532	2,542
Operating Income	205.0	249.0	264.0	305.0	338.0
Net Income to Stockholders	68.0	228.0	252.0	145.0	222.0
Shares Outstanding	267.5	266.8	267.0	263.0	257.0
Diluted EPS	0.25	0.84	0.94	0.55	0.87
EBITDA	289.0	330.0	349.0	402.0	430.0

Balance Sheet

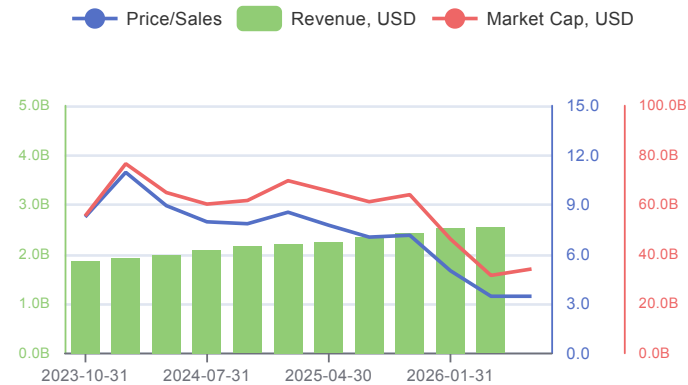
Date	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Total Current Assets	9,963	10,407	9,175	8,429	6,592
Total Assets	17,212	17,961	17,751	18,074	16,091
Total Current Liabilities	4,821	4,945	5,017	6,378	6,535
Total Liabilities	8,293	8,789	8,872	10,269	9,408
Total Equity	8,919	9,172	8,879	7,805	6,683
Total Debt	3,393	3,776	3,793	3,821	3,805

Cash Flow Statement

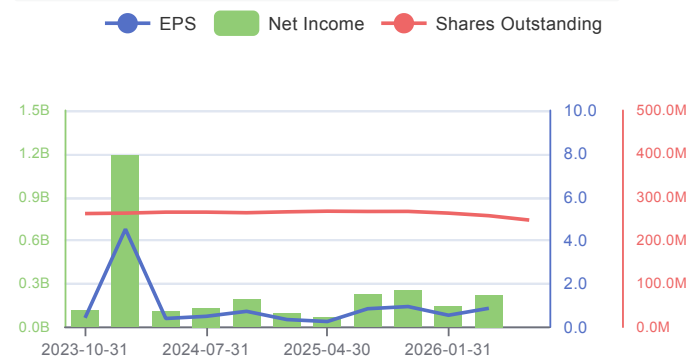
Date	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027
Cash from Operations	457.0	616.0	588.0	1,278	696.0
Cash from Investing	-523.0	13.0	1,687	-844.0	97.0
Cash from Financing	-501.0	-349.0	-925.0	-1,544	-1,733
Levered Free Cash Flow	0.0	0.0	0.0	0.0	616

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

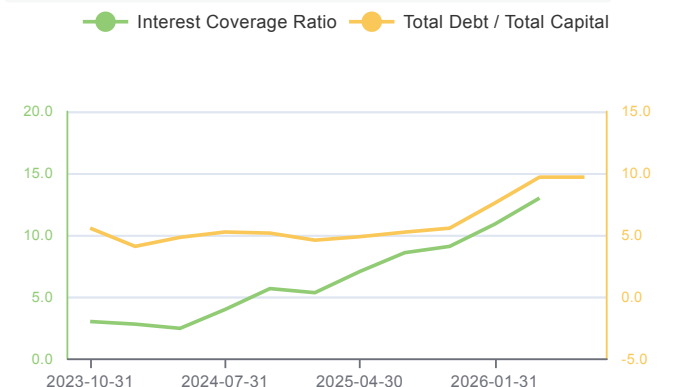
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

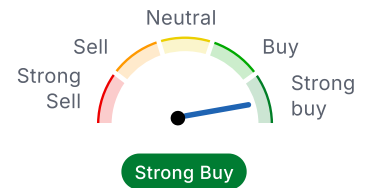
Price Momentum

Metric	WDAY	Percentile	Score
Price % of 52 Week High	57.5%	30.5%	1.5
1 Week Price Total Return	10.3%	95.1%	4.8
2 Week Price Total Return	21.6%	89.5%	4.5
3 Week Price Total Return	17.9%	86.1%	4.3
1 Month Price Total Return	-0.1%	52.2%	2.6
3 Month Price Total Return	20.5%	59.7%	3.0
6 Month Price Total Return	-31.5%	14.7%	0.7
1 Year Price Total Return	-40.3%	14.9%	0.7
2 Year Price Total Return	-36.6%	16.3%	0.8
3 Year Price Total Return	-34.3%	20.1%	1.0
4 Year Price Total Return	-2.9%	38.6%	1.9
5 Year Price Total Return	-39.4%	32.8%	1.6

Peers

CRM	ADBE
61.8%	57.3%
3.9%	5.0%
11.0%	12.7%
9.4%	12.9%
-6.9%	-9.6%
-3.4%	-7.4%
-37.5%	-42.0%
-33.1%	-61.5%
-17.7%	-54.3%
-1.7%	-43.1%
-29.8%	-63.4%

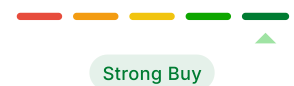
Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	WDAY	CRM	ADBE
Market Cap	\$34.1B	\$136.4B	\$87.8B
Price % of 52 Week High	55.2%	60.5%	57.4%
Div Yield	0%	1.06%	0%
Beta	1.10	1.18	1.43
1 Year Return	-42.6%	-38.0%	-40.8%

Growth Metrics

Metric	WDAY	CRM	ADBE
Revenue Growth	13.3%	11.0%	11.5%
Revenue CAGR (5y)	17.2%	14.3%	13.1%
Net Income Growth	73.9%	29.3%	5.24%
Net Income CAGR (5y)		12.9%	6.27%
Revenue Forecast CAGR (5y)	10.6%	10.1%	9.19%
Net Income Forecast CAGR (5y)	42.4%	20.4%	14.3%

Financial Statement Metrics

Metric	WDAY	CRM	ADBE
Revenue	\$9.9B	\$42.8B	\$25.2B
Gross Profit	\$7.5B	\$33.3B	\$22.5B
Operating Income	\$1.2B	\$9.4B	\$9.3B
Gross Profit Margin	75.8	77.6	89.4
Net Income to Common	\$847.0M	\$8.0B	\$7.2B
ROE	10.9	16.9	63.0
ROI	7.71	10.7	40.9
ROA	5.09	7.82	24.9
Total Assets	\$16.1B	\$106.7B	\$29.9B
Total Debt	\$3.8B	\$42.5B	\$7.1B

Valuation Metrics

Metric	WDAY	CRM	ADBE
P/E Ratio (LTM)	40.2	17.0	12.1
PEG Ratio	0.54	0.49	1.03
Price / Book	5.10	3.99	7.62
Price / LTM Sales	3.46	3.19	3.49
Analyst Upside	16.0%	43.9%	12.8%
Fair Value Upside	55.6%	5,412.0%	6,316.0%

Latest Insights

WarrenAI

Bull Case

- AI monetization is accelerating rapidly: new ACV from agentic AI products grew over 200% YoY in Q1 FY27, with ARR approaching \$500 million and over 4,000 customers using at least one organically developed agent, demonstrating mainstream enterprise adoption beyond early experimentation.
- Expansion deals including AI components are on average 50% larger than non-AI deals, and AI accounted for more than a quarter of new ACV from customer base expansions in Q1 FY27, indicating a clear and measurable uplift in deal economics driven by AI adoption.
- The AWS Data Cloud integration and Agent Passport launch with Cisco signal a broadening partner ecosystem and platform openness strategy, which could unlock new revenue streams and reinforce Workday's position as the central enterprise data hub.
- Operating cash flow surged 52% YoY to \$696 million in Q1 FY27, with full-year FCF guidance of \$3.18 billion (15% growth). The company repurchased \$1.6 billion in shares during Q1, reflecting strong capital generation and management confidence.
- The stock trades at a forward P/E of ~13x (FY27) and a PEG ratio of 0.54, well below its InvestingPro Fair Value of \$214.58, suggesting meaningful upside. 21 analysts revised EPS estimates upward in the past 90 days, with consensus EPS growing from \$10.98 (FY27) to \$14.70 (FY29).

Bear Case

- Despite beating Q1 FY27 estimates, the stock fell 3.55% in after-hours trading, and has declined approximately 43% from its 52-week high of \$249.85, reflecting persistent investor concerns about growth deceleration and macro headwinds.
- A federal class-action lawsuit (filed '23) alleging AI bias in Workday's HR screening tools survived dismissal attempts and is now proceeding under California law and the ADA, introducing material legal, reputational, and compliance risks that could slow AI product adoption.
- Sales cycles remain elongated in government-funding-sensitive verticals such as healthcare and education, contributing to deal slippage and the more conservative FY27 subscription revenue guidance of 12–13% growth versus prior higher expectations.
- With over 65% Fortune 500 penetration, new large-enterprise customer acquisition is increasingly difficult, requiring successful mid-market, international, and adjacent vertical expansion — all of which carry execution risk and require incremental investment.
- Increased R&D and go-to-market spending on AI initiatives pressures near-term margins; the FY27 non-GAAP operating margin guidance of 30.5% remains below some analyst consensus expectations, and GAAP margins lag non-GAAP by approximately 18–19 percentage points.

Additional Insights

- CEO Aneel Bhusri returned in February '26 and has refocused Workday on three priorities: building the AI future, growing with customers, and living company values. He appointed Sana founder Joel Hellermark as Chief AI Officer, signaling a startup-oriented cultural reset aimed at faster AI execution.
- Workday's 12-month subscription revenue backlog (CRPO) grew 15.5% YoY to \$8.81 billion in Q1 FY27, and total subscription backlog reached \$27.29 billion (up 11%), providing strong revenue visibility. Gross revenue retention remained high at 97%.
- The Deployment Agent is targeting a 30–50% reduction in implementation time and cost, with an aspirational goal of '\$0 deployment in a month.' This could meaningfully lower barriers to adoption, particularly in the mid-market segment.
- Workday expanded into Vietnam (APAC) and launched EU-based data residency in Frankfurt, addressing data sovereignty requirements for European customers. EMEA is now the second-largest region for medium enterprise, with new ACV in that segment growing over 50% in Q1 FY27.
- The Flex Credits pricing model unifies AI monetization across agents, AI APIs, and Data Cloud into one framework, simplifying adoption. Management expects Flex Credits to become a more meaningful growth driver in H2 FY27 as more agentic innovations are added to the model.

SWOT Analysis

WarrenAI

Strengths

- Dominant cloud HCM market position serving 11,500+ organizations globally, including 65%+ of Fortune 500 companies, with a unified 'Power of One' platform spanning HR, payroll, talent, and financial management that drives high switching costs.
- Impressive gross profit margins of ~75.8% and a 97% gross revenue retention rate reflect strong pricing power, deep customer integration, and a highly sticky subscription-based revenue model.
- Approaching \$500 million in ARR from agentic AI solutions, with new ACV from AI products growing 200%+ YoY in Q1 FY27, demonstrating rapid and scalable AI monetization across the customer base.
- Strong cash generation with Q1 FY27 operating cash flow of \$696 million (up 52% YoY) and full-year FCF guidance of \$3.18 billion, supporting aggressive share buybacks (\$1.6 billion in Q1 alone) and strategic investments.

Weaknesses

- Subscription revenue growth has moderated to 12–13% for FY27, down from higher prior-year rates, reflecting market maturation at the large-enterprise tier and ongoing sales execution challenges including deal slippage and elongated sales cycles.
- GAAP operating margins lag non-GAAP margins by approximately 18–19 percentage points, and increased AI-related R&D and go-to-market investments continue to pressure near-term profitability, with FY27 non-GAAP margin guidance of 30.5% below some analyst expectations.
- High penetration of the Fortune 500 limits new large-enterprise customer acquisition, increasing reliance on mid-market expansion, international growth, and deeper product adoption within existing accounts — all of which carry execution risk.
- The stock carries a moderate level of debt and pays no dividend, limiting appeal to income-oriented investors, while the trailing P/E of 40.2x and high EV/EBITDA multiples may deter valuation-sensitive investors despite attractive forward multiples.

Opportunities

- Agentic AI expansion across HR, finance, and adjacent verticals (ITSM, travel) via Sana platform represents a significant TAM expansion opportunity, with AI-inclusive deals averaging 50% larger and Flex Credits enabling scalable consumption-based monetization.
- International expansion (under 30% of ARR outside North America) and mid-market penetration via Workday GO (now available in France, Germany, UK, and 14 additional countries through partners) offer meaningful untapped growth runways.
- AWS Data Cloud integration enabling bi-directional, zero-copy data access could attract new enterprise customers and deepen existing relationships, while the open API and MCP-standard ecosystem strategy positions Workday as the enterprise AI data backbone.
- Deployment Agent's targeted 30–50% reduction in implementation costs could eliminate a key barrier to adoption in the mid-market, potentially unlocking a large segment of previously cost-constrained prospects.

Threats

- The federal class-action lawsuit alleging AI bias in Workday's hiring screening tools — now proceeding under California law and the ADA — poses material legal, compliance, and reputational risks that could slow AI product adoption and increase operating costs.
- Intensifying competition from Oracle, SAP, Microsoft, ServiceNow, UKG, and ADP — all investing heavily in AI-powered enterprise solutions — could pressure pricing, market share, and deal win rates, particularly in financial management where Workday's penetration lags HCM.
- Macroeconomic uncertainty and government funding pressures in healthcare and education verticals continue to extend sales cycles and risk deal slippage, potentially causing Workday to miss even its conservative FY27 guidance.
- Rapid AI advancement from large language model providers and new entrants could disrupt traditional enterprise software models if Workday fails to maintain its innovation pace, while workforce reductions at customer companies could reduce seat-based revenue growth.

Earnings Call - Q1 2027

05/21/26 | WarrenAI

- Q1 FY27 EPS of \$2.66 beat the \$2.52 forecast (5.56% surprise), and total revenue of \$2.54 billion exceeded the \$2.52 billion estimate, with subscription revenue up 14% YoY to \$2.354 billion — the best Q1 new ACV growth in five years.
- Non-GAAP operating income was \$809 million (31.8% margin), operating cash flow rose 52% YoY to \$696 million, and the company repurchased \$1.6 billion in shares during Q1, ending with \$4.4 billion in cash and marketable securities.

Bullish Highlights

- New ACV from agentic AI products grew over 200% YoY in Q1 FY27, with ARR approaching \$500 million from agentic solutions and over 4,000 customers using at least one organically developed agent — more than doubling quarter-over-quarter.
- Expansions drove ~60% of subscription revenue growth, with AI-inclusive expansion deals averaging 50%+ larger than non-AI deals, and more than a quarter of expansion ACV coming from AI products.
- Deployment Agent is delivering an estimated 30% reduction in implementation hours and cost on current projects, targeting 50% on new projects, with an aspirational goal of '\$0 deployment in a month' to unlock mid-market growth.
- CRPO grew 15.5% YoY to \$8.81 billion, and gross revenue retention remained strong at 97%, reflecting deep customer integration and platform stickiness. Sana Self-Service Agent is being provisioned to all HCM and finance customers on AI terms of service at no additional cost.

Bearish Highlights

- Despite the earnings beat, the stock fell 3.55% in after-hours trading to \$122.12, reflecting investor concerns about the sustainability of growth and broader market sentiment toward high-multiple software stocks.
- FTE counts in the technology sector were noted as flat or declining, with seat compression a potential headwind; management acknowledged this but argued AI is replacing labor rather than software, positioning Workday as a beneficiary.
- Total subscription revenue backlog grew only 11% YoY (vs. CRPO at 15.5%), with the gap attributed to a higher mix of customer base renewals (shorter duration) versus net new deals, signaling some duration compression in the backlog.
- Management acknowledged Q1 benefited from deals that slipped from Q4, cautioning that 'one quarter does not make a year' and that the larger AI bookings impact is expected to materialize more meaningfully in H2 FY27 and FY28.

Q&A Highlights

- On AI TCO vs. build-your-own (Morgan Stanley): Bhusri outlined three paths — Workday's own agents, Extend Pro for customer-built apps, and open AI APIs — all requiring Workday's 'lawful' security and governance rails, arguing no enterprise customer wants 'lawless' AI bypassing business process frameworks.
- On agentic deployment gaps (Goldman Sachs): Management highlighted that Workday engages on specific, value-defined problems rather than generic AI exploration, enabling focused ROI conversations. Demand has been so strong that Sana Self-Service Agent is being provisioned as a default rather than requiring services engagement.
- On Deployment Agent vs. Workday Launch (Deutsche Bank): Gerrit Kazmaier described Deployment Agent as the AI-automated evolution of Launch, with a mission of '\$0 deployment in a month,' targeting 30–50% cost reductions and potentially eliminating migration complexity as a barrier in the mid-market.
- On CRPO vs. RPO dynamics (Barclays): CFO Zane Rowe confirmed contract duration has been consistent; the gap between CRPO and RPO growth reflects a higher mix of customer base renewals (shorter duration) versus net new deals, not customers signing shorter contracts.

Misses

- The stock declined 3.55% in after-hours trading despite beating both EPS and revenue estimates, suggesting the market had priced in higher expectations or harbored concerns about forward guidance and growth sustainability.
- Full-year FY27 subscription revenue guidance was reiterated rather than raised despite the Q1 beat, disappointing investors who anticipated an upward revision following the strong quarter.
- Management noted that the larger impact of AI bookings and Flex Credits monetization is expected to be back-half weighted and more meaningfully reflected in FY28 revenue, implying limited near-term acceleration in reported revenue metrics.
- No information available on specific quantified misses relative to sell-side consensus on CRPO or professional services revenue for the quarter.

Top News, last 60 days:

[Workday Q1 FY2027 beats EPS and revenue forecasts but stock falls 3.55% in after-hours trading](#)

May 21, 2026

- Workday reported Q1 FY2027 EPS of \$2.66, beating forecast of \$2.52, and revenue of \$2.54 billion versus anticipated \$2.52 billion, but stock fell 3.55% in afterhours trading on Thursday, 20260521, closing at \$122.12.
- Subscription revenue grew 14% yearoveryear to \$2.354 billion, with new ACV from AI products increasing over 200% yearoveryear, marking the best Q1 new ACV growth in five years.
- NonGAAP operating income was \$809 million with 31.8% margin, operating cash flow was \$696 million (up 52% yearoveryear), and the company repurchased \$1.6 billion of shares during Q1 with \$1.3 billion remaining in authorization as of April 30.
- Company provided Q2 FY2027 guidance of EPS \$2.7 and Q3 FY2027 EPS \$2.74, reiterated fullyear subscription revenue outlook of \$9.925\$9.950 billion (12%13% growth), and increased fullyear nonGAAP operating margin guidance to 30.5%.

Importance - 7/10 Neutral

[Workday Must Face California Lawsuit Over AI Bias in Job Screening Tools](#)

June 22, 2026

- U.S. District Judge Rita Lin ruled on Monday, June 22, 2026, that Workday must face claims that its Alpowered HR software discriminated against job applicants at other companies in violation of California law and the Americans with Disabilities Act.
- The proposed class action, filed in 2023, is the first to broadly target algorithmic decisionmaking in AI screening software; Judge Lin initially rejected Workday's dismissal attempts in 2024 and mostly denied the company's bid to dismiss recent amendments on Monday.
- The judge ruled Workday could be liable under California law because it allegedly participated in unlawful conduct from its California headquarters, even when screening applicants based outside California for jobs in other states and countries.

Importance - 6/10 Negative

[Workday Must Face Claims Over AI Hiring Software Bias in Federal Court](#)

June 22, 2026

- U.S. District Judge Rita Lin ruled on Monday, 20260622, that Workday Inc must face claims that its Alpowered HR software screened out job applicants in violation of California law and federal disability discrimination rules.
- The proposed class action, filed in 2023, is the first case to broadly challenge algorithmic decisionmaking behind AI screening software used by large employers.
- Judge Lin rejected Workday's argument that California antidiscrimination laws do not apply when screening applicants based outside California for jobs in other states and countries, citing Workday's conduct from its California headquarters.
- The judge dismissed a claim regarding discrimination against Asian American applicants due to improper procedure, while claims remain for alleged discrimination against Black job seekers, women, and people older than 40.

Importance - 6/10 Negative

[Workday Announces AWS Integration for Data Cloud, Stock Surges 26.8%](#)

June 02, 2026

- Workday Inc. (NASDAQ:WDAY) announced on Tuesday, June 2, 2026, that Workday Data Cloud will integrate with Amazon Web Services, providing bidirectional, zerocopy access between AWS data and AI services and Workday's HR and finance data.
- The \$38.8 billion software company's stock surged 26.8% over the past week following the announcement, with 21 analysts revising earnings upwards for the upcoming period.
- Workday Data Lake, Workday Data Connect, and Workday Live Data Query will be available for AWS customers in early access soon, with general availability planned for later this year.
- The company maintains gross profit margins of 75.8% on revenue of \$9.85 billion and serves more than 11,500 organizations globally.

Importance - 6/10 Positive

Workday Launches Agent Passport AI Testing System with Cisco as Launch Partner

June 02, 2026

- Workday announced on Tuesday, June 2, 2026, Agent Passport, a system that tests and verifies AI agents before production deployment and monitors them continuously afterward, measuring agents against industry standards including OWASP LLM Top 10, NIST AI RMF, and MITRE ATLAS.
- Cisco joined as the launch partner, using Cisco AI Defense to test AI agents running in Workday, confirming agents resist instruction override attempts, protect sensitive employee information, and block harmful responses.
- Agent Passport will be available to early access customers in the second half of 2026, with general availability projected before the end of 2026.
- Workday's stock surged 26.78% over the past week (as of the announcement date), with the company currently trading below its Fair Value according to InvestingPro analysis.
- Workday has a market cap of \$38.8 billion, maintains a gross profit margin of 75.77%, and has earned a 'GREAT' financial health rating from InvestingPro.

Importance - 6/10 Positive

Workday Launches Agent Passport AI Security Platform with Cisco as Launch Partner

June 02, 2026

- Workday announced Agent Passport, a platform that tests and monitors AI agents for security risks including prompt injection, data leaks, and unsafe outputs against standards including OWASP LLM Top 10, NIST AI RMF, and MITRE ATLAS.
- Cisco serves as the launch partner, using its AI Defense technology to test AI agents running in Workday systems and validate they resist instruction override attempts, protect sensitive information, and block harmful responses.
- Agent Passport will be available to early access customers in the second half of 2026, with general availability projected before the end of 2026, with WorkdayCisco partnership capabilities rolling out over coming quarters.
- The announcement was made at Workday DevCon in Las Vegas.

Importance - 6/10 Positive

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